

Reading Financial Statements

Introduction to Financial Markets - Module 3 handout

1. The three statements

Income Statement - performance over a period. Revenue minus costs.

Balance Sheet - position at one instant. $\text{Assets} = \text{Liabilities} + \text{Equity}$.

Cash Flow - cash actually moving: operating, investing, financing.

2. Why profit is not cash

Revenue is booked when earned, not when paid. A profitable company can still run out of cash if receivables are never collected. Always read the cash flow statement alongside the income statement.

3. What to check first

- a. Is operating cash flow positive, and close to net income?
- b. Is debt growing faster than equity?
- c. Are receivables growing faster than revenue?
- d. Are margins stable across periods?

This handout is hosted by the content provider and delivered over LTI 1.3.

Valuation Ratios - Quick Reference

Common multiples

P/E Price / Earnings per share. Sensitive to one-off gains.

P/B Price / Book value. Useful for banks, weak for asset-light firms.

EV/EBITDA Capital-structure neutral, better for cross-company comparison.

P/S Price / Sales. Used when earnings are negative.

Where each one misleads

P/E breaks when earnings are near zero or negative.

P/B ignores intangible assets, which dominate modern balance sheets.

EV/EBITDA ignores capital expenditure, flattering capital-heavy firms.

Rule of thumb

A multiple is a question, not an answer. A low P/E asks why the market expects earnings to fall - it does not say the stock is cheap.